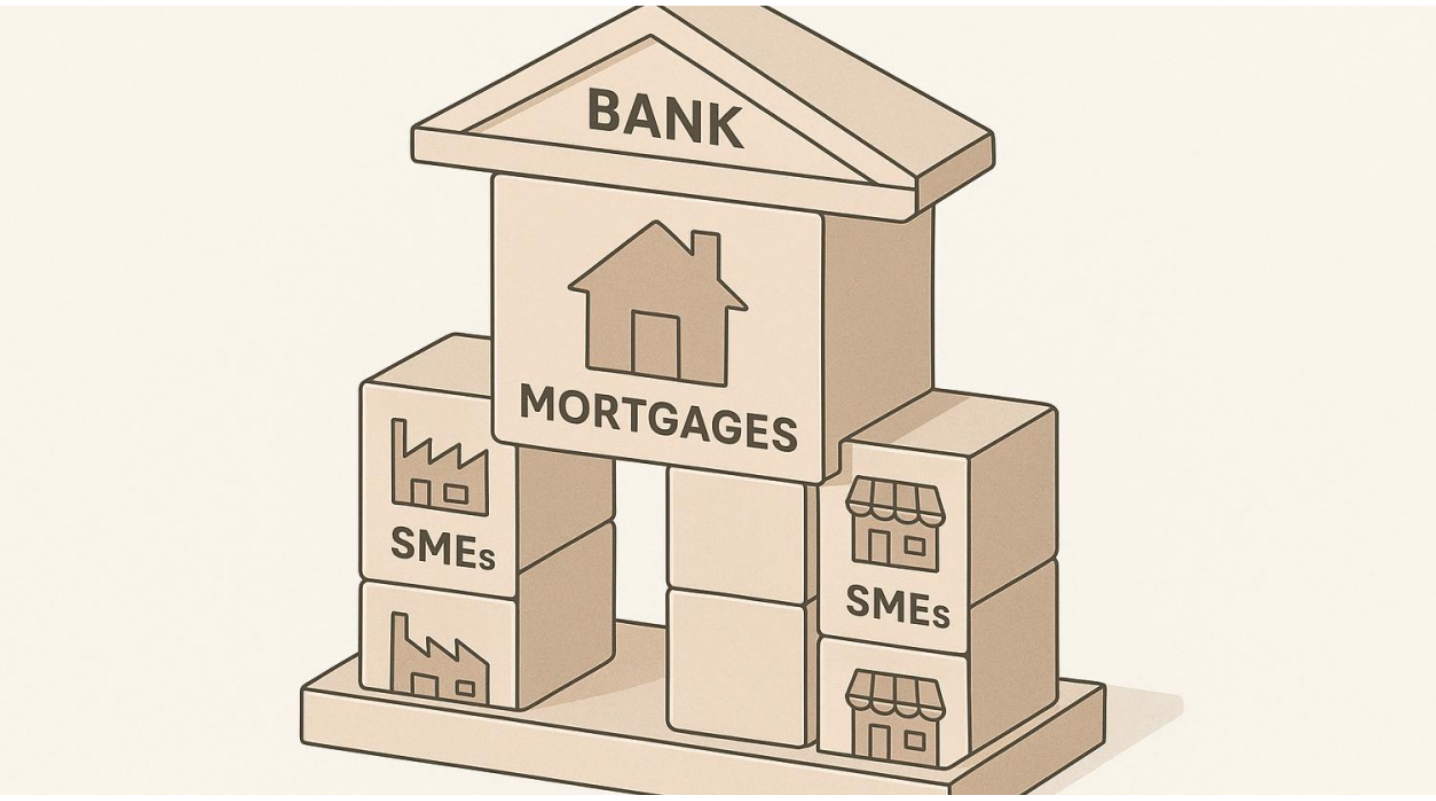

🏦 Housing Credit, Broad Money, and the Real Economy: A UK View

Roger Lewis
Published Feb 23, 2026

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🏦 or, When "Macroprudence" Becomes a Housing Scheme (and everyone still clocks in)

"A ship in harbour is safe, but that is not what ships are for." John Augustus Shedd's line fits modern banking uncomfortably well—because parts of the regulatory architecture reward banks for crowding into "safe harbours," and that crowding changes what the economy becomes good at financing.

This isn't a conspiracy story. It's an incentives story: **risk-weights aren't neutral**. They tilt returns, steer balance sheets, and quietly set the boundaries of "possible" housing and business outcomes.

Here's a measured way to see it in the UK data.

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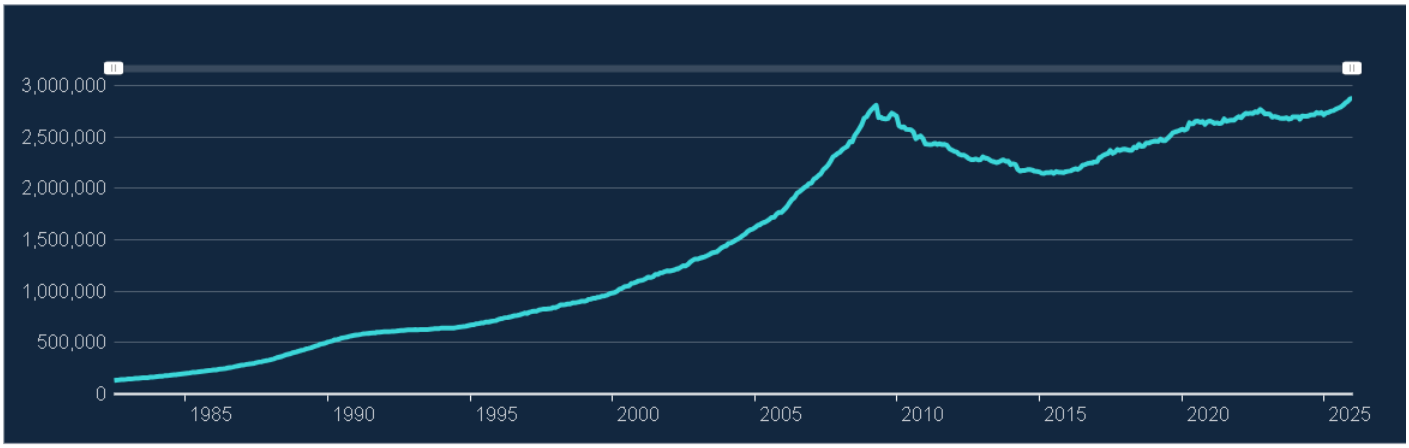
1) The UK credit machine is mortgage-heavy (by stock) 🏠

By late 2025, the outstanding value of residential mortgages was:

- **£1,733.7bn** (up 0.9% on the quarter; 2.9% on the year). Source: Bank of England, *Mortgage Lenders and Administrators Statistics – 2025 Q3* (published 09 Dec 2025). The FCA also hosts the mortgage lending statistics page referencing the same release.

To compare this with a coherent denominator, use **bank lending to the private sector** (a credit stock measure), rather than M4 (a money/liability stock measure). One widely used BoE series is:

- **LPMBF36**: "Monthly amounts outstanding of MFIs' sterling net lending to private sector (sterling millions), not seasonally adjusted." Source: Bank of England database series page for **LPMBF36**.



MFI Stirling net lending

Monthly amounts outstanding of monetary financial institutions' sterling net lending to private sector (in sterling millions) not seasonally adjusted [a] [b] [c] [d] [e] [f] [g] [h] [i] [j] [k] [l] [m] [n] [o] [p] [q] [r] [s] [t] [u] [v] [w] [x] [y] [z] [1] [2] [2] [3] [4] [5] [6] [7] [8] **LPMBF36**

Using late-2025 LPMBF36 stock alongside mortgage outstanding, the headline is:

Residential mortgages are around ~60% of UK MFIs' sterling lending to the private sector (by stock). *(Illustrative calculation shown in the appendix at the end.)*

That is the credit-allocation fact pattern that matters: UK private-sector bank credit is dominated by housing.

2) Why “mortgages as % of M4” is tempting—but fragile (and how to say it safely) 💷

It’s true that M4 is roughly **£3.21tn** around December 2025 in common data releases and secondary aggregators.

But it’s easy to get into trouble by claiming:

“mortgages are ~54% of M4”

because that compares:

- **mortgages** = bank **assets** (loans owed to banks), with
- **M4** = bank **liabilities** (broad money holdings / deposits).

They are linked through the banking system, but **they are not the same type of object**, so the ratio can be dismissed as category error even if the macro intuition is right.

A safer, technically correct way to make the same macro point is:

Because mortgage lending is such a large share of bank credit, housing cycles strongly influence broad-money dynamics (especially in the ‘money and credit’ data), transaction activity, and consumption behaviour.

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3) “Safer banking system” — ask for outputs, not slogans 📌

When someone says *“macroprudence made the system safer,”* the Peircean move is to ask: **what are the observable outputs?**

Three that matter:

1. **Credit allocation shift**
2. **System runnability / risk migration**

3. **Household exposure**

If we can't answer these, "resilience" becomes branding.

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4) The policy tension: housing as shelter vs housing as balance-sheet collateral 🔥🚪

The uncomfortable structural reality is:

- housing is **shelter**,
- but mortgage credit is a **financial instrument secured on shelter**, and
- when mortgage credit dominates bank balance sheets, **house prices become a solvency-adjacent variable** (through defaults, LGD, risk appetite, and confidence effects).

That is why policymakers often avoid cliff-edge nominal falls and drift instead toward:

- slow real-terms adjustment,
- frictional policy (regulation, compliance),
- and—because housing wealth is large and immobile—ever stronger fiscal attention.

Ships were meant for the ocean. But we keep paying ours to remain in harbour.

References (key links)

- Bank of England — *Mortgage Lenders and Administrators Statistics, 2025 Q3* (mortgage stock £1,733.7bn): **https://www.bankofengland.co.uk/statistics/mortgage-lenders-and-administrators/2025/2025-q3**
- FCA — Mortgage lending statistics page (hosts/echoes BoE MLAR release): **https://www.fca.org.uk/data/mortgage-lending-statistics**
- Bank of England — database series **LPMBF36** description (private-sector sterling lending outstanding): **https://wwwtest.bankofengland.co.uk/boeapps/database/fromshowcolumns.asp?SeriesCodes=LPMBF36&UsingCodes=Y**

- Bank of England — *Money and Credit, December 2025* (broad context for money/credit conditions): **https://www.bankofengland.co.uk/statistics/money-and-credit/2025/december-2025**

- Bank of England — *Money and credit summary tables (Dec 2025)*: **https://www.bankofengland.co.uk/-/media/boe/files/statistics/money-and-credit/2025/summary-tables-december-2025**

- Trading Economics — UK "Money Supply M4" level around Dec 2025 (secondary aggregator, use cautiously): **https://tradingeconomics.com/united-kingdom/money-supply-m4**

- Per Kurowski — "Risk weights are to access to credit…" (argument on risk-weight incentives): **http://subprimeregulations.blogspot.com/2019/07/risk-weights-are-to-access-to-credit.html**

Appendix: the one ratio that's hard to swat away

Using:

- Mortgages outstanding: **£1.7337tn** (BoE MLAR, 2025 Q3)

- Private-sector sterling lending outstanding: **~£2.874tn** (BoE series LPMBF36 around late 2025, from the BoE database export/series)

Mortgage share of private-sector bank lending≈1.73372.874≈60%Mortgage share of private-sector bank lending≈2.8741.7337≈60%

That is the clean "housing dominates bank credit allocation" fact—without mixing assets and money aggregates.

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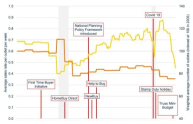

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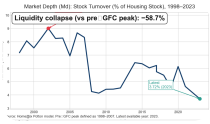

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